

specific stocks is superior to owning an index. In many international markets, stock market indices are overweighted to large but poorly managed state-owned or family-controlled enterprises, undercapitalized banks, and overregulated utilities. They often include volatile commodity producers as well as low-return property companies. Abroad, innovation and growth are often concentrated within a subset of privately controlled entrepreneurial companies that are often only small constituents of local indexes, if included at all.

BUSINESS QUALITY IS THE BEST PROTECTION FROM MACROECONOMIC SHOCKS

Along with a bargain purchase price, business quality can also insulate investors from permanent loss of capital. Companies with pricing power, for example, can offset the negative effects of inflation and devaluations, and companies with high returns on capital do not need to incur debt that can be so damaging in periods of high interest rates. In 2002, when the Argentine peso devalued by 75%, Quilmes, the leading beer company in Argentina, saw its net domestic sales decline from \$426 million in calendar year 2001 to \$164 million in 2002 largely due to a -59% decline in net realization per liter in dollar terms. However, over the five years that followed, Quilmes was able to impose significant price increases due to its strong brand equity, dominant 65% market share, and higher input costs across the entire industry. By 2006, Quilmes had recovered three-quarters of its lost net realization in dollar terms. Despite suffering an extraordinary macroeconomic shock, Quilmes had restored the value of its business in dollar terms. Similarly, during the Brazilian hyperinflation of the 1980s and 1990s, pricing power helped Nestle grow its Brazilian revenues in Swiss franc terms. Vietnam Dairy Products, known as Vinamilk, the leading dairy products and beverages company in Vietnam, was also able to raise domestic price enough to offset a steady depreciation of the Vietnamese